* 0000800000001 *

Cambridge Assessment International Education

Cambridge O Level

CANDIDATE NAME

CENTRE NUMBER

CANDIDATE NUMBER

8117793604

COMMERCE **7100/22**

Paper 2 Written **May/June 2025**

2 hours

You must answer on the question paper.

No additional materials are needed.

INSTRUCTIONS

- Answer **all** questions.
- Use a black or dark blue pen.
- Write your name, centre number and candidate number in the boxes at the top of the page.
- Write your answer to each question in the space provided.
- Do **not** use an erasable pen or correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 80.
- The number of marks for each question or part question is shown in brackets [ ].

This document has **16** pages. Any blank pages are indicated.

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[Turn over

1 Fig. 1.1 shows the percentage share of the global freight transport market carried by different methods of transport.

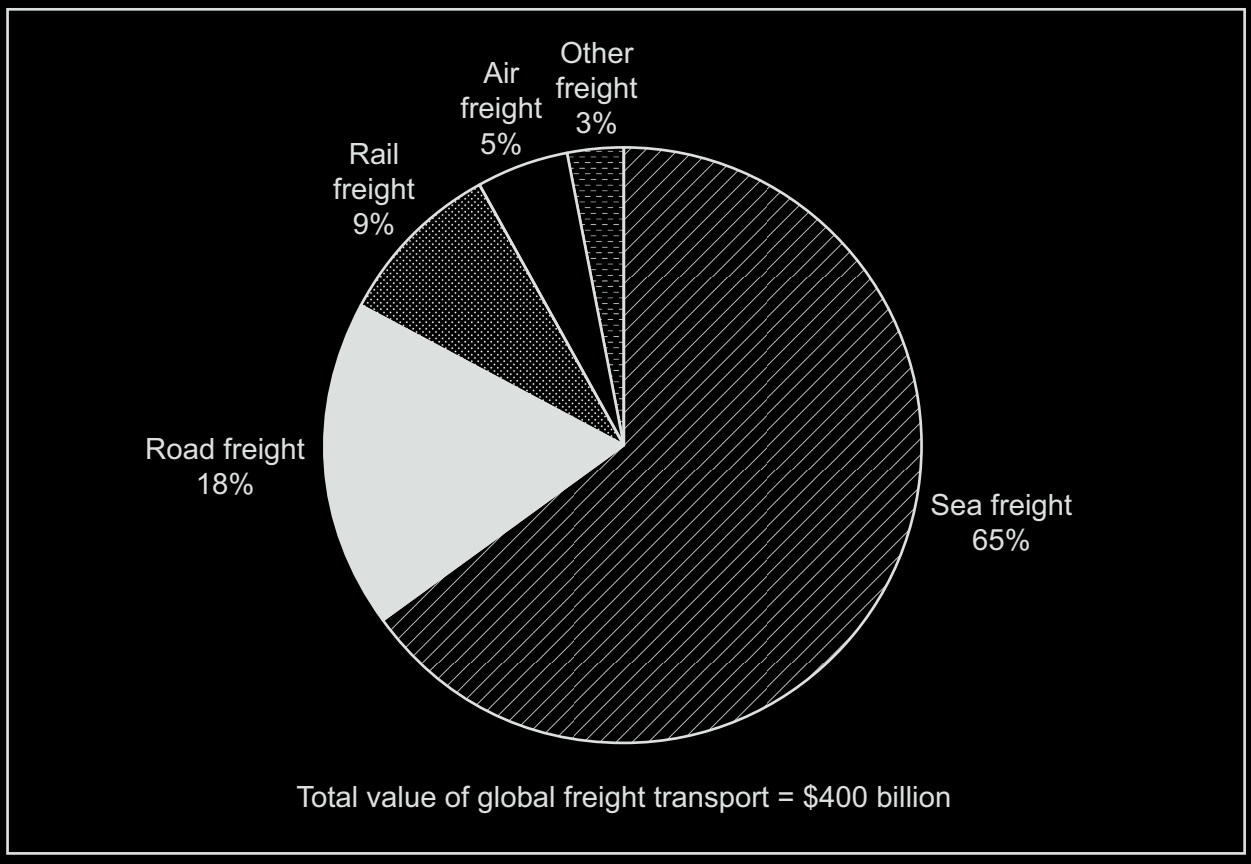


Fig. 1.1

Use Fig. 1.1 to help you answer the following questions.

(a) (i) Define *global market*.

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..... [1]

(ii) State **one** method of transport that might be included in 'Other freight'.

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..... [1]

(iii) Calculate the total value of global freight carried by road and rail transport.
Show your working.

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(b) Explain **two** reasons why the percentage of global goods carried by air is low.

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[4]

(c) Do you think businesses should use less packaging when transporting goods? Give reasons for your answer.

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..... [3]

(d) Circle the correct answer to complete each of the following sentences.

The transport document that shows the freight charged for goods is a

bill of lading **OR** consignment note.

Businesses search for sustainable transport solutions to

invest money **OR** save money.

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(e) Discuss how important it is for retailers to locate their shops near to transport links. Give reasons for your answer.

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2 DS is a department store. It offers a variety of credit facilities to its customers, including store cards and hire purchase.

(a) Define *credit*.

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..... [1]

(b) State **two** features of a department store, apart from credit facilities.

1 .....

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[2]

(c) Ahmad wants to buy a new computer.

Do you think it is a good idea for Ahmad to use a store card to finance this purchase? Give reasons for your answer.

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(d) Fig. 2.1 shows an extract of financial information on 30 April 2025 for DS.

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Inventory	370 000
Bank overdraft	45 000
Cash	20 000
Trade payables	310 000

Fig. 2.1

Using Fig. 2.1, calculate the working capital for DS. Show your working.

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(e) DS is considering leasing space in its store to a clothing brand.

Discuss whether DS should lease space in its store to another business. Give reasons for your answer.

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3 FF Ltd is a food processing company in India. It has received a $30 million export order for canned meat from a new customer in the United States.

(a) Explain what is meant by an export order.

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(b) Describe how FF Ltd will contribute to India's Balance of Trade.

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(c) Explain the effect on FF Ltd if the United States introduces import quotas on canned meat from India.

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(d) FF Ltd is experiencing a delay with the delivery of this export order and needs to communicate with the customer.

Evaluate whether FF Ltd should use written or oral communication to communicate with the customer. Discuss both options. Which option do you recommend? Give reasons for your answer.

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4 Jinani owns a roadside stall selling fruit and vegetables. She obtains her fruit from a wholesaler and grows her own vegetables to sell. She only accepts payment by cash from her customers.

(a) Identify the **two** sectors of production that Jinani is involved in.

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2 .....

..... [2]

(b) Explain **one** reason why Jinani only accepts payment by cash.

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(c) Explain how a wholesaler assists in stabilising the price of fruit and vegetables.

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(d) Fig. 4.1 shows the statement of account received by Jinani from the wholesaler at the end of April 2025.

Using the information given in Fig. 4.1, complete **(i)–(ii)** on the statement of account.

STATEMENT OF ACCOUNT

To: Jinani fruit and vegetables
Market Road
Lahore

From: FV Wholesalers
High Road
Lahore

Date: 30 April 2025

Terms: 5% 30 days

Date	Details	Debits $	Credits $	Balance $
2 April	Invoice	150		150
9 April	Invoice	180		330
16 April	Credit note		60	**(i)** .....
23 April	Invoice	140		**(ii)** .....
30 April	Invoice	115		555

Fig. 4.1

[2]

(e) Explain the meaning of Terms: 5% 30 days.

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(f) Some businesses do not accept payment by cash.

Evaluate the advantages and disadvantages to businesses of only accepting cashless payments.

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5 Fig. 5.1 shows a poster advertising a theme park's rides.

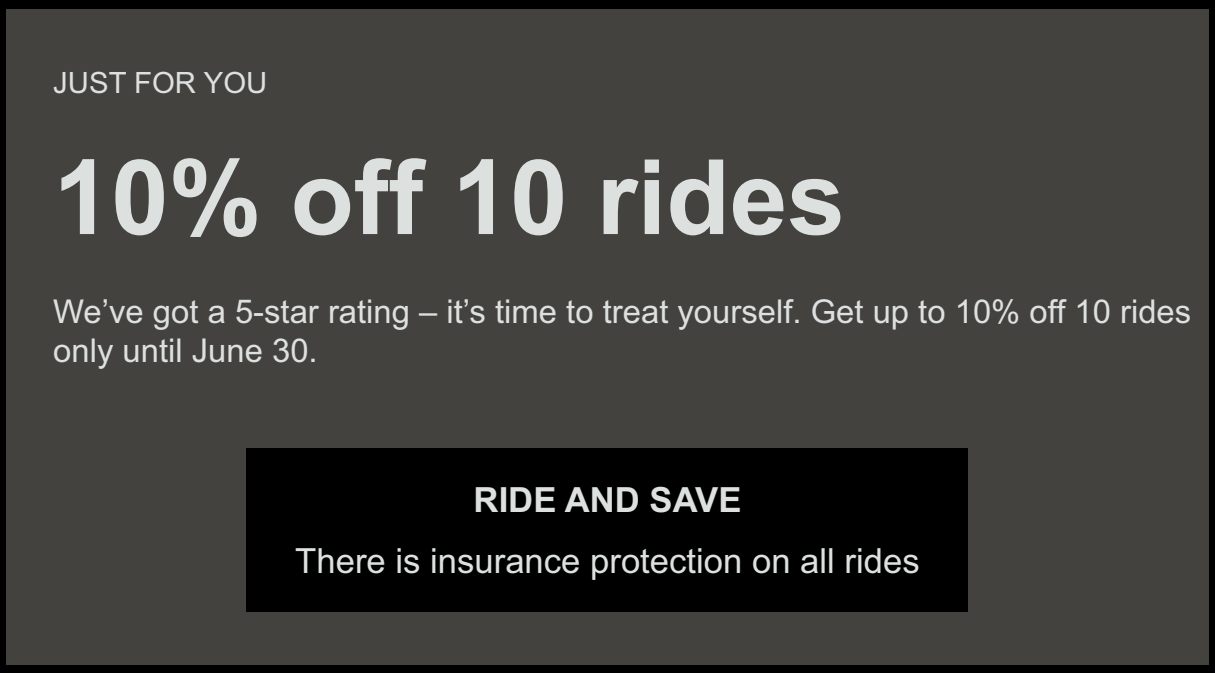


Fig. 5.1

Use Fig. 5.1 to help you answer the following questions.

(a) (i) Which method of appeal is shown in Fig. 5.1?

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(ii) Do you think this poster is an effective advertisement? Give reasons for your answer.

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(b) Which of these statements about insurance are true and which are false?
Tick (✓) TRUE or FALSE in the correct column.

	TRUE	FALSE
The theme park is the insurer providing insurance protection.		
Public liability insurance covers claims from customers due to an accident on a ride.		
Theme park discount codes can reduce insurance premiums.		

[3]

(c) Evaluate **two** important insurance principles when making a claim for fire damage to a theme-park building, costing $400 000 to repair. Give reasons for your answer.

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